

10 March 2026

Indian Paints Sector

Pricing can firm up amid volatile crude; demand trends stable

We conducted channel checks in decorative paints pan-India to gauge (1) product price change expectations among dealers on volatile crude oil prices (amid geopolitical conflict), and (2) overall demand trends. Brent crude is up 10-12% over the past 5 days, up c.10% QoQ but down c.7% YoY in 4Q26 so far; assuming current prices hold till end-March, crude could be up c.18% QoQ for the current quarter. In this backdrop, our checks indicate:

- If crude sustains at current high levels, **most dealers expect product price hikes of 2-5% in April** (more if crude climbs to higher levels for a longer period). Dealers point out that paint companies have not indicated any price hikes so far, and **might wait out March-2026** for crude to settle, clarity on cost impact and any pricing required (esp. amid elevated competitive intensity).
- We believe initial price hikes would (1) happen if crude persists at current high levels for a prolonged period; (2) be limited to low-single digits, staggered over 1Q27; and (3) be followed by further hikes in case of a higher up-move in crude which again needs to sustain for a longer period. Impact on margins would depend on (1) where/ when/ for how long crude settles, and (2) price actions – our long-period analysis indicates a c.10% QoQ increase in crude prices has led to a c.130bps QoQ decline in gross margins in aggregate in the past.
 - o In the past (over 4Q21-2Q22, 4Q22-1Q23 – see table below), when crude climbed by c.15-25% QoQ, Asian Paints took staggered price hikes of 2-4%; however, its GPMs were impacted by c.350-450bps QoQ in 1Q/ 2Q22 (after which APNT took further hikes of c.15% over 3Q22) and by 100-200bps QoQ in 1Q/ 2Q23 (after which crude corrected). Subsequently, the company's GPM rebounded by 200bps QoQ in 3Q/ 4Q22 and by 300-400 bps QoQ in 3Q/ 4Q23. **However, volume growth remained sturdy at 13-14% over 2H22/ FY23.**

- **Demand remains stable with value growth in mid-single digits**, as indicated by dealers across regions. Sales in economy segment – economy emulsions, distempers – are faster vs premium/ luxury sales in most regions and for players including Asian Paints and Birla Opus.
- Discounting levels remain stable, with no material change from prior periods.
- **Birla Opus'** brand has picked up with painters/ contractors in South and Central regions, delivering stable performance in West and North, but sees low traction in East. Dealers believe the uptick is partly driven by higher incentives (10% extra volume on emulsions, higher coupons/ tokens for contractors/ painters).
- **Berger, Dulux** are doing well in East and North India (Berger Easy Clean, APNT's Royale interior emulsions doing well in Amritsar).

While there is near-term caution on the impact of volatile crude on pricing, margins and volume growth, we note this is still an unfolding story with multiple possible endgames. **We continue to prefer Berger Paints (BUY, TP Rs 570)**, noting its consistent growth outperformance with momentum across decorative and industrial. While Asian Paints' (BUY, TP Rs 3,160) pricing power is a positive in the current environment, we await industry demand acceleration before turning more positive.

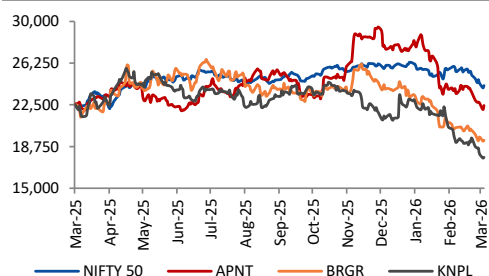
Acknowledging contributions from our primary research team for this report

CHANNEL CHECK

Industry

Paints

Paints vs. Nifty 50 Index



Source: Bloomberg, Systematix Research

Sector recommendations

Stocks	CMP (Rs)	TP (Rs)	Upside / Downside (%)	Reco.
APNT	2,295	3,160	38%	BUY
BRGR	437	570	30%	BUY
KNPL	186	225	21%	HOLD

Source: Systematix Research

Historical price performance

Stocks	6-mnth	1yr	3yr	5yr
APNT	-11.3%	-0.4%	-7.3%	-1.2%
BRGR	-17.7%	-12.9%	-3.9%	-6.1%
KNPL	-25.2%	-20.6%	-11.9%	-13.4%

Source: Systematix Research

Abhishek Mathur
abhishekmathur@systematixgroup.in
+91 22 6704 8059

Rajat Parab
rajatparab@systematixgroup.in
+91 22 6704 8084

Exhibit 1: Crude price increases vs APNT margins, volume and pricing

Particulars	4Q21	1Q22	2Q22	3Q22	4Q22	1Q23	2Q23	3Q23	4Q23
Brent Crude Oil price QoQ	19%	17%	10%	5%	24%	19%	-10%	-11%	-5%
Brent Crude Oil price YoY	6%	50%	49%	61%	67%	71%	40%	19%	-9%
APNT GPM change QoQ (bps)	-190	-475	-368	201	195	-100	-197	284	393
APNT GPM change YoY (bps)	-266	-631	-966	-832	-448	-73	98	182	379
APNT Volume growth YoY	48%	106%	34%	18%	8%	37%	10%	0%	16%
APNT Price Hike YoY		3%	4%	15%		2%	1.5%		

Source: Company, Systematix Research

Detailed region-wise takeaways from channel checks**North India - Amritsar, Lucknow**

- Demand conditions were slow due to Holi (labour unavailability).
- In past months demand growth was around 5-7%.
- April to see inventory stock up and procurement.
- Prices were stable for the region, but a hike of c.2-5% is expected in next 2-3 months.
- Discounts are also similar and unchanged.
- In APNT, Tractor (economy) contributes for major demand while Royale has limited demand due to its premium nature.
- Berger has improved its presence and is also well performing in the region owing to (1) product quality improvement and (2) ear on ground and (3) successfully implementing dealer feedback.
- For Birla Opus is doing well with performance improving QoQ. Majority of demand comes from painters owing to high incentives; but brand preference is low from retail customers.
- Dulux (AKZO-JSW) is also doing well in these markets.

South India – Chennai, Hyderabad

- Dealers indicated mixed demand scenarios; some regions saw unfavorable demand conditions from January month, while others asserted seeing good growth of c.5%.
- In impacted region, drag was from decline in construction/infra/real estate markets due to price surge of inputs like PVC, resin, copper, etc.
- Dealer community sees a potential price hike in April month of c.3-5%.
- Discounts remain stable and unchanged over last few months.
- Economy category was smooth seller and well performer in the region.
- Luxury & Premium were not performing that well; Royale (APNT) and Apcolite (APNT) were relatively slow moving in the region.
- Birla Opus performance improved YoY. In one region, it is comfortably growing at 15-20%; Opus has made inroads in the region, but brand recall still remains strong for APNT.
- Per dealer, extra ml-age/liter offerings by Opus on 10/20 ltr packs will eventually stop.

East India – Jamshedpur, Ranchi, Dhanbad

- Mixed demand over last 2 months, with some signs of demand pickup over last couple of days indicated by dealers; an average dealer's business growth c.5%.
- Product pricing remained stable and unchanged in the region.
- As of now no announcements are made to dealers but they expect a price hike in the range of 2-4% in April month.
- Discounts are also similar and unchanged.
- Asian Paints' economy as well as luxury & premium products selling smoothly.
- BRGR remains strong in the region led by its feet on street and dealer connect.
- Dulux (AKZO-JSW) is also one of the smooth sellers and performing well.
- Birla Opus has relatively low presence in the region.

Central India – Indore

- YoY demand remains low in the region led by weaker growth across brands like Asian Paints, Dulux (AKZO-JSW), Birla Opus and Berger Paints.
- Dealer iterated lower demand was on the back of low consumer spending on painting.
- No price hike was taken by Asian Paints while Birla Opus has taken some hikes; Post this, pricing differential between Asian Paints and Birla Opus has reduced to almost nil.
- Price hike in the tune of 5% is expected by dealers, announcements are expected by end-March.
- One of the dealers believes price hikes can be short-term in nature and brands might be in wait-n-watch mode.
- Discounts remain stable and unchanged.

West India – Surat, Vadodara, Jaipur

- Region is impacted by flattish to low demand conditions, with YoY growth less than 5%.
- The demand scenario is expected to remain same in coming 2-3 months, or get even more impacted by (1) expectations of price hikes and (2) consumer shift from painting to applying tiles.
- Dealers saw no price hikes by brands.
- Dealers anticipate hikes across products like Oil paints, Putty and Plastic paint.
- Discounts remain stable and unchanged.
- For Asian Paint, Tractor & Distemper (economy) are performing well; Royale (Luxury) selling relatively lower.
- For Berger, Distemper and low-end products doing well.
- Birla Opus brand is expanding its presence in the region.

Exhibit 2: Paint company valuations

Company	CMP	TP	Upside	Reco	Mcap	FY25-28E CAGR			P/E		EV/EBITDA		ROE (%)	
	(Rs)	(Rs)	(%)			Revenue	EBITDA	EPS	FY27E	FY28E	FY27E	FY28E	FY27E	FY28E
Asian Paints	2,295	3,160	38%	BUY	2,201	5.8%	10.1%	10.8%	45.7	40.1	29.3	25.8	22%	23%
Berger Paints	437	570	30%	BUY	510	6.2%	5.9%	6.5%	39.9	35.7	24.5	21.8	18%	18%
Kansai Nerolac	186	225	21%	HOLD	151	4.9%	5.8%	5.8%	21.3	19.6	11.8	10.5	10%	10%
Akzo Nobel	2,910	NA	NA	NR	133	1.8%	6.7%	8.6%	26.2	25.5	17.4	17.0	20%	20%
Indigo Paints	840	NA	NA	NR	40	8.7%	10.7%	11.0%	23.5	20.6	13.3	11.8	14%	14%

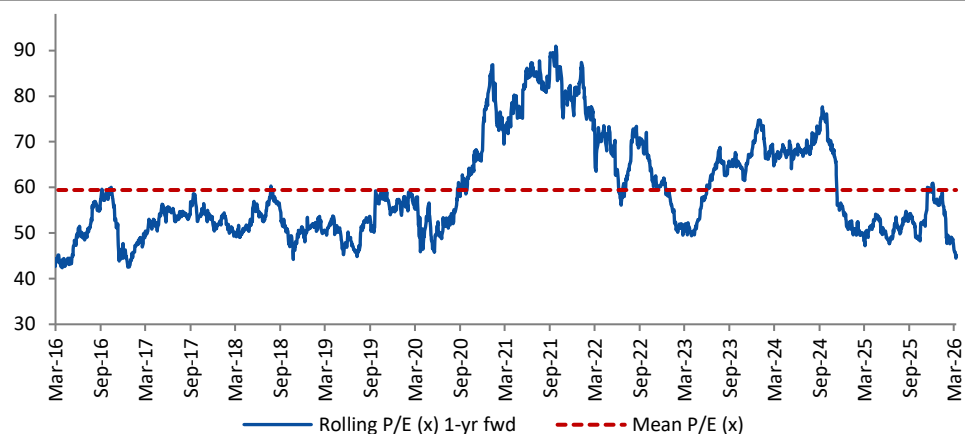
Source: Companies, Bloomberg, Systematix Research. Note: NR- Note Rated; NA- Not Applicable; Akzo & Indigo consensus estimates from Bloomberg

Exhibit 3: Peer comparison on 3QFY26 results

3QFY26 consolidated	Asian Paints (APNT)	Berger Paints (BRGR)	Kansai Nerolac (KNPL)	Akzo Nobel (AKZO)*	Indigo Paints (INDIGOPN)
Decorative volume growth YoY	7.9%	8.5%	2%*	5.9%	2.8%*
Revenue growth YoY	3.7%	0.3%	3.1%	-1.0%	4.7%
EBITDA growth YoY	8.8%	-0.2%	2.0%	-2.0%	19.5%
Adj. PAT growth YoY	9.6%	9.9%	-4.5%	-5.9%	-4.5%
GPM	44.4%	43.1%	35.7%	42.2%	46.8%
GPM change YoY (bps)	197	143	45	76	14
OPM	20.1%	15.8%	12.1%	14.9%	19.0%
OPM change YoY (bps)	94	-7	-14	-15	236

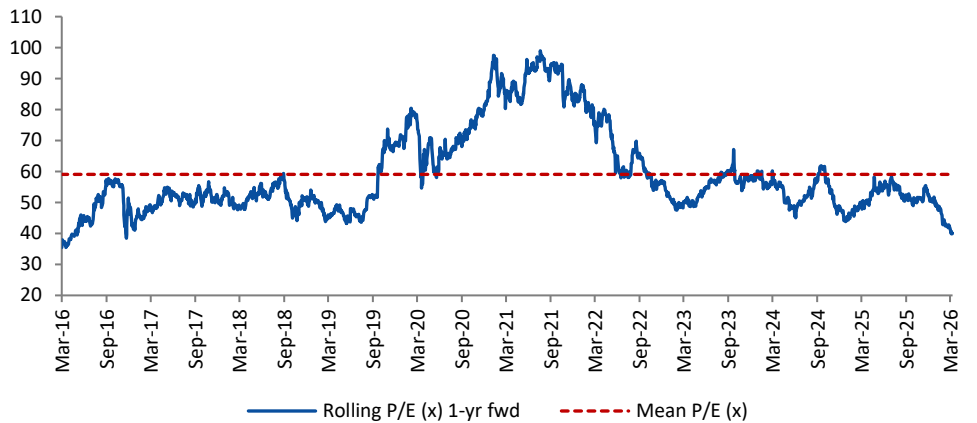
Source: Company, Systematix Research; *AKZO numbers excluding powder & IRC business; KNPL volume gr. our estimate; INDIGOPN volume gr. our estimate based on weighted average segment volume gr.

Exhibit 4: APNT 1-year forward P/E (x)



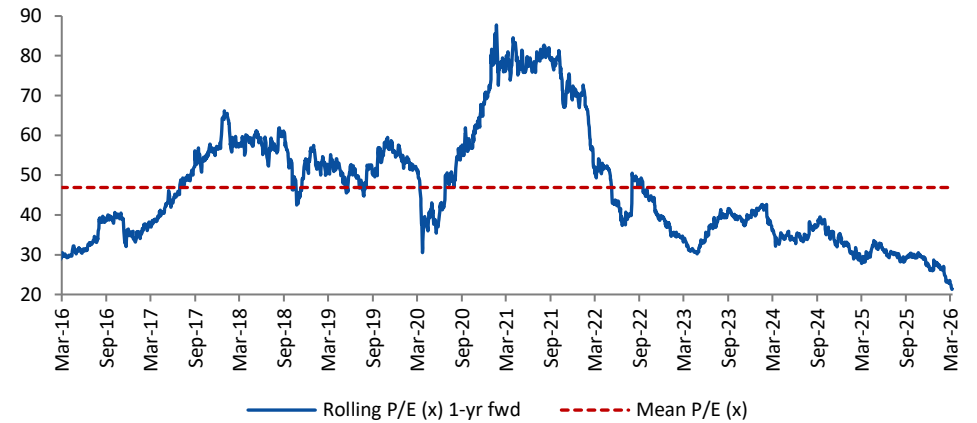
Source: Company, Systematix Research

Exhibit 5: BRGR 1-year forward P/E (x)



Source: Company, Systematix Research

Exhibit 6: KNPL 1-year forward P/E (x)



Source: Company, Systematix Research

DISCLOSURES/APPENDIX

I. ANALYST CERTIFICATION

I, **Abhishek Mathur CFA, Rajat Parab**; hereby certify that (1) views expressed in this research report accurately reflect my/our personal views about any or all of the subject securities or issuers referred to in this research report, (2) no part of my/our compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed in this research report by **Systematix Shares and Stocks (India) Limited (SSSIL)** or its group/associate companies, (3) reasonable care is taken to achieve and maintain independence and objectivity in making any recommendations.

Disclosure of Interest Statement	Update
Analyst holding in the stock	Yes
Served as an officer, director or employee	No

II. ISSUER SPECIFIC REGULATORY DISCLOSURES, unless specifically mentioned in point no. 9 below:

- The research analyst(s), SSSIL, associates or relatives do not have any financial interest in the company(ies) covered in this report.
- The research analyst(s), SSSIL, associates or relatives collectively do not hold more than 1% of the securities of the company(ies) covered in this report as of the end of the month immediately preceding the distribution of the research report.
- The research analyst(s), SSSIL, associates or relatives did not have any other material conflict of interest at the time of publication of this research report.
- The research analyst, SSSIL and its associates have not received compensation for investment banking or merchant banking or brokerage services or any other products or services from the company(ies) covered in this report in the past twelve months.
- The research analyst, SSSIL or its associates have not managed or co-managed a private or public offering of securities for the company(ies) covered in this report in the previous twelve months.
- SSSIL or its associates have not received compensation or other benefits from the company(ies) covered in this report or from any third party in connection with this research report.
- The research analyst has not served as an officer, director or employee of the company(ies) covered in this research report.
- The research analyst and SSSIL have not been engaged in market making activity for the company(ies) covered in this research report.
- Details of SSSIL, research analyst and its associates pertaining to the companies covered in this research report:

Sr. No.	Particulars	Yes / No.
1	Whether compensation was received from the company(ies) covered in the research report in the past 12 months for investment banking transaction by SSSIL.	No
2	Whether research analyst, SSSIL or its associates and relatives collectively hold more than 1% of the company(ies) covered in the research report.	No
3	Whether compensation has been received by SSSIL or its associates from the company(ies) covered in the research report.	No
4	Whether SSSIL or its affiliates have managed or co-managed a private or public offering of securities for the company(ies) covered in the research report in the previous twelve months.	No
5	Whether research analyst, SSSIL or associates have received compensation for investment banking or merchant banking or brokerage services or any other products or services from the company(ies) covered in the research report in the last twelve months.	No

- There is no material disciplinary action taken by any regulatory authority that impacts the equity research analysis activities.

STOCK RATINGS

BUY (B): The stock's total return is expected to exceed 15% over the next 12 months.

HOLD (H): The stock's total return is expected to be within -15% to +15% over the next 12 months.

SELL (S): The stock's total return is expected to give negative returns of more than 15% over the next 12 months.

NOT RATED (NR): The analyst has no recommendation on the stock under review.

INDUSTRY VIEWS

ATTRACTIVE (AT): Fundamentals/valuations of the sector are expected to be attractive over the next 12-18 months.

NEUTRAL (NL): Fundamentals/valuations of the sector are expected to neither improve nor deteriorate over the next 12-18 months.

CAUTIOUS (CS): Fundamentals/valuations of the sector are expected to deteriorate over the next 12-18 months.

III. DISCLAIMER

The information and opinions contained herein have been compiled or arrived at based on the information obtained in good faith from sources believed to be reliable. Such information has not been independently verified and no guaranty, representation of warranty, express or implied, is made as to its accuracy completeness or correctness.

This document is for information purposes only. This report is based on information that we consider reliable; we do not represent that it is accurate or complete and one should exercise due caution while acting on it. Description of any company(ies) or its/their securities mentioned herein are not complete and this document is not and should not be construed as an offer or solicitation of an offer to buy or sell any securities or other financial instruments. Past performance is not a guide for future performance, future returns are not guaranteed and a loss of original capital may occur. All opinions, projections and estimates constitute the judgment of the author as on the date of the report and these, plus any other information contained in the report, are subject to change without notice. Prices and availability of financial instruments are also subject to change without notice. This report is intended for distribution to institutional investors.

This report is not directed to or intended for display, downloading, printing, reproducing or for distribution to or use by, any person or entity that is a citizen or resident or located in any locality, state, country or other jurisdiction where such distribution, publication, reproduction, availability or use would be contrary to law or regulation or what would subject to SSSIL or its affiliates to any registration or licensing requirement within such jurisdiction. If this report is inadvertently sent or has reached any individual in such country, especially USA, the same may be ignored and brought to the attention of the sender. Neither this document nor any copy of it may be taken or transmitted into the United States (to U.S. persons), Canada, or Japan or distributed, directly or indirectly, in the United States or Canada or distributed or redistributed in Japan or to any resident thereof. Any unauthorized use, duplication,

redistribution or disclosure of this report including, but not limited to, redistribution by electronic mail, posting of the report on a website or page, and/or providing to a third party a link, is prohibited by law and will result in prosecution. The information contained in the report is intended solely for the recipient and may not be further distributed by the recipient to any third party.

SSSIL generally prohibits its analysts, persons reporting to analysts, and members of their households from maintaining a financial interest in the securities or derivatives of any companies that the analysts cover. Additionally, SSSIL generally prohibits its analysts and persons reporting to analysts from serving as an officer, director, or advisory board member of any companies that they cover. Our salespeople, traders, and other professionals or affiliates may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed herein. Our proprietary trading and investing businesses may make investment decisions that are inconsistent with the recommendations expressed herein. The views expressed in this research report reflect the personal views of the analyst(s) about the subject securities or issues and no part of the compensation of the research analyst(s) was, is, or will be directly or indirectly related to the specific recommendations and views expressed by research analyst(s) in this report. The compensation of the analyst who prepared this document is determined exclusively by SSSIL; however, compensation may relate to the revenues of the Systematix Group as a whole, of which investment banking, sales and trading are a part. Research analysts and sales persons of SSSIL may provide important inputs to its affiliated company(ies).

Foreign currencies denominated securities, wherever mentioned, are subject to exchange rate fluctuations which could have an adverse effect on their value or price or the income derived from them. In addition, investors in securities such as ADRs, the values of which are influenced by foreign currencies, effectively assume currency risk. SSSIL, its directors, analysts or employees do not take any responsibility, financial or otherwise, of the losses or the damages sustained due to the investments made or any action taken on the basis of this report including but not restricted to fluctuation in the prices of shares and bonds, changes in the currency rates, diminution in the NAVs, reduction in the dividend or income, etc.

SSSIL and its affiliates, officers, directors, and employees subject to the information given in the disclosures may: (a) from time to time, have long or short positions in, and buy or sell, the securities thereof, of company (ies) mentioned herein or (b) be engaged in any other transaction involving such securities and earn brokerage or other compensation (financial interest) or act as a market maker in the financial instruments of the company (ies) discussed herein or act as advisor or lender / borrower to such company (ies) or have other potential material conflict of interest with respect to any recommendation and related information and opinions. The views expressed are those of the analyst and the company may or may not subscribe to the views expressed therein.

SSSIL, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all warranties of originality, accuracy, completeness, merchantability or fitness for a particular purpose with respect to any of this information. Without limiting any of the foregoing, in no event shall SSSIL, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability for any damages of any kind. The company accepts no liability whatsoever for the actions of third parties. The report may provide the addresses of, or contain hyperlinks to, websites. Except to the extent to which the report refers to website material of the company, the company has not reviewed the linked site. Accessing such website or following such link through the report or the website of the company shall be at your own risk and the company shall have no liability arising out of, or in connection with, any such referenced website.

SSSIL will not be liable for any delay or any other interruption which may occur in presenting the data due to any technical glitch to present the data. In no event shall SSSIL be liable for any damages, including without limitation, direct or indirect, special, incidental, or consequential damages, losses or expenses arising in connection with the data presented by SSSIL through this presentation.

SSSIL or any of its other group companies or associates will not be responsible for any decisions taken on the basis of this report. Investors are advised to consult their investment and tax consultants before taking any investment decisions based on this report.

Registration granted by SEBI to SSSIL and certification from NISM to the analyst in no way guarantee performance of SSSIL or to provide any assurance of returns to investors.



Systematix Shares and Stocks (India) Limited:

Registered and Corporate address: The Capital, A-wing, No. 603 – 606, 6th Floor, Plot No. C-70, G Block, Bandra Kurla Complex, Bandra (East), Mumbai – 400 051

Tel no. 022-66198000/40358000 Fax no. 022-66198029/40358029 Email id contactus@systematixgroup.in. Visit us at: www.systematixgroup.in

Details of Compliance officer: Ms Nipa Savla, Compliance officer Tel no. 022-66198092/4035808092 Email id compliance@systematixgroup.in

Details of Email id grievance redressal cell : grievance@systematixgroup.in

Details of Registration : CIN - U65993MH1995PLC268414 | BSE SEBI Reg. No.: INZ000171134 (Member Code: 182) | NSE SEBI Reg. No.: INZ000171134 (Member Code: 11327) | MCX SEBI Reg. No.: INZ000171134 (Member Code: 56625) | NCDEX SEBI Reg. No.: INZ000171134 (Member Code: 1281) | Depository Participant SEBI Reg. No.: IN-DP-480-2020 (DP Id: 12034600) | PMS SEBI Reg. No.: INP000002692 | Research Analyst SEBI Reg. No.: INH200000840